

Primitive	Core specifications
Case quality	Unobserved continuous quality $Q \sim U[0, 1]$
True liability	$T = 1$ means truly liable. Given quality q , $\Pr(T = 1 \mid Q = q) = q$; the unconditional probability is $\Pr(T = 1) = 0.5$.
Signal generation	Each party and the court receive a noisy assessment drawn from a normal distribution centered on q , truncated to $[0, 1]$. Assessments are independent conditional on exact q .
Signal noise	$\sigma_P = \sigma_D = \sigma_C = 0.20$
Party signals	$X_P \in \mathcal{S}_P$ and $X_D \in \mathcal{S}_D$, with $ \mathcal{S}_P = \mathcal{S}_D = 10$. Ten equal-width intervals per party have midpoint labels $0.05, 0.15, \dots, 0.95$.
Court signal and rule	$X_C \in \mathcal{S}_C$, with $ \mathcal{S}_C = 2$. The court finds no liability for assessments below 0.5, and liability for assessments at or above 0.5.
Damages	Fixed award $d = 1$ if P wins at trial or D defaults; zero if P abandons or loses at trial
Initial wealth	$w_P = w_D = 10$
Filing and answering	P chooses whether to file; after filing, D chooses whether to answer or default. Nonfiling ends the dispute without payment or litigation costs.
Bargaining rounds	Single simultaneous round
Offer grid	$\mathcal{O} = \{0.05, 0.15, \dots, 0.95\}$, with $ \mathcal{O} = 10$ choices per party. The finer-grid check uses $ \mathcal{O} = 15$ midpoint offers with the same signal sets.
Settlement rule	Settlement occurs if P's demand is no greater than D's offer; D pays P the midpoint of the two amounts.
Exit	Before offers, each party privately commits to continue or quit if bargaining fails. P may abandon; D may default. Trial occurs only if bargaining fails and neither quits.
Mutual exit	If both commit to quit and bargaining fails, a lottery selects P's abandonment or D's default with probability 0.5 each.
Stage costs	$c_{file} = c_{answer} = c_{trial} = 0.15$ at ordinary costs; trial costs are additional and per party. Each incurs 0.30 through trial before fee shifting. No separate bargaining cost.
Cost multipliers	A common multiplier $c \in \{0.25, 0.5, 1, 2, 4\}$ scales all stage costs; ordinary costs use $c = 1$.
Preferences	Both parties maximize expected utility: risk neutral, $U(W) = W$, or CARA, $U(W) = -e^{-\alpha W}$ with $\alpha = 2$ for both parties.

	American	Trial Fee-Shifting	Complete Fee-Shifting
Fee trigger			
After trial	Own costs	Loser pays	Loser pays
Initial nonanswer	Own costs	Own costs	D pays P's fees
Later P abandonment	Own costs	Own costs	P pays D's fees
Later D default	Own costs	Own costs	D pays P's fees
Settlement	Own costs	Own costs	Own costs